ACCOUNTING CHOICES THAT AFFECT THE CASH FLOW STATEMENT

Learning Outcome

- describe accounting methods (choices and estimates) that could be used to manage earnings, cash flow, and balance sheet items

The cash flow statement consists of three sections: the operating section, which shows the cash generated or used by operations; the investing section, which shows cash used for investments or provided by their disposal; and the financing section, which shows transactions attributable to financing activities.

The operating section is closely scrutinized by investors. Many of them consider it a reality check on reported earnings, on the grounds that earnings attributable to accrual accounting only and unsupported by actual cash flows may indicate earnings manipulation. Such investors believe that amounts shown for cash generated by operations is more insulated from managerial manipulation than the income statement. Cash generated by operations can be managed to an extent, however.

The operating section of the cash flow statement can be shown either under the direct method or the indirect method. Under the direct method, "entities are encouraged to report major classes of gross cash receipts and gross cash payments and their arithmetic sum—the net cash flow from operating activities."[26] In practice, companies rarely use the direct method. Instead, they use the indirect method, which shows a reconciliation of net income to cash provided by operations. The reconciliation shows the non-cash items affecting net income along with changes in working capital accounts affecting cash from operations. Exhibit 24 provides an example of the indirect presentation method.

Exhibit 24: Indirect Presentation Method

Cash Flows from Operating Activities (USD millions)	2018
Net income	USD3,000
Adjustments to reconcile net income to net cash provided by operating activities:	
Provision for doubtful receivables	10
Provision for depreciation and amortization	1,000
Goodwill impairment charges	35
Share-based compensation expense	100
Provision for deferred income taxes	200
Changes in assets and liabilities:	
Trade, notes, and financing receivables related to sales	(2,000)
Inventories	(1,500)
Accounts payable	1,200
Accrued income taxes payable/receivable	(80)
Retirement benefits	90
Other	(250)
Net cash provided by operating activities	USD1,805

Whether the indirect method or direct method is used, simple choices exist for managers to improve the *appearance* of cash flow provided by operations without actually improving it. One such choice is in the area of accounts payable management, shaded in Exhibit 24.

assets but did not require cash. If the company's managers had further delayed paying creditors USD500 million until the day *after* the balance sheet date, they could have increased the cash provided by operating activities by USD500 million. If the managers believe that cash generated from operations is a metric of focus for investors, they can impress them with artificially strong cash flow by simply stretching the accounts payable credit period.

What might alert investors to such machinations? They need to examine the composition of the operations section of the cash flow statement—if they do not, then *nothing* will ever alert them. Studying changes in the working capital can reveal unusual patterns that may indicate manipulation of the cash provided by operations.

Another practice that might lead an investor to question the quality of cash provided by operations is to compare a company's cash generation with an industry-wide level or with the cash operating performance of one or more similar competitors. Cash generation performance can be measured several ways. One way is to compare the relationship between cash generated by operations and net income. Cash generated by operations in excess of net income signifies better quality of earnings, whereas a chronic excess of net income over cash generated by operations should be a cause for concern; it may signal the use of accounting methods to simply raise net income instead of depicting financial reality. Another way to measure cash generation performance is to compare cash generated by operations with debt service, capital expenditures, and dividends (if any). When there is a wide variance between the company's cash generation performance and that of its benchmarks, investors should seek an explanation and carefully examine the changes in working capital accounts.

Because investors may focus on cash from operations as an important metric, managers may resort to managing the working capital accounts as described in order to present the most favorable picture. But this can be done in other ways. A company may misclassify operating uses of cash into either the investing or financing sections of the cash flow statement, which enhances the appearance of cash generated by operating activities.

Dynegy Inc. provides an example of manipulation of cash from operations through clever construction of contracts and assistance from an unconsolidated special purpose entity named ABG Gas Supply LLC (ABG). In April 2001, Dynegy entered into a contract for the purchase of natural gas from ABG. According to the contract, Dynegy would purchase gas at *below-market* rates from ABG for nine months and sell it at the current market rate. The nine-month term coincided with Dynegy's 2001 year-end and would result in gains backed by cash flows. Dynegy also agreed to buy gas at *above-market* rates from ABG for the following 51 months and sell it at the current market rate. The contract was reported at its fair value at the end of fiscal year 2001. It had no effect on net income for the year. The earlier portion of the contract resulted in a gain, supported by USD300 million of cash flow, but the latter portion of the contract resulted in non-cash losses that offset the profit. The mark-to-market rules required the recognition of both gains and losses from all parts of the contract, and hence the net effect on earnings was zero.

In April 2002, a *Wall Street Journal* article exposed the chicanery, thanks to leaked documents. The SEC required Dynegy to restate the cash flow statement by reclassifying USD300 million from the operating section of the cash flow statement to the financing section, on the grounds that Dynegy had used ABG as a conduit to effectively borrow USD300 million from Citigroup. The bank had extended credit to ABG, which it used to finance its losses on the contract (Lee, 2012).

Another area of flexibility in cash flow reporting is found in the area of interest capitalization, which creates differences between total interest payments and total interest costs.[27] Assume a company incurs total interest cost of USD30,000, composed of USD3,000 of discount amortization and USD27,000 of interest payments. Of the USD30,000, two-thirds of it (USD20,000) is expensed; the remaining third (USD10,000) is

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(1/3 × USD27,000) as an investing outflow. The company might also choose to offset the entire USD3,000 of non-cash discount amortization against the USD20,000 treated as expense, resulting in an operating outflow as low as USD17,000, or as much as USD20,000 if it allocated all of the non-cash discount amortization to interest capitalized as investing activities. Similarly, the investing outflow could be as much as USD10,000 or as little as USD7,000, depending on the treatment of the non-cash discount amortization. There are choices within the choices, all in areas in which investors believe choices do not even exist. **Nurnberg and Largay (1998)** have noted that companies apparently favor the method that reports the lowest operating outflow, presumably to maximize reported cash from operations.

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Investors and analysts need to be aware that presentation choices permitted in IAS 7, *Statement of Cash Flows*, offer flexibility in classification of certain items in the cash flow statement. This flexibility can drastically change the results in the operating section of the cash flow statement. An excerpt from IAS 7, Paragraphs 33 and 34, provides the background:

> *33. Interest paid and interest and dividends received are usually classified as operating cash flows for a financial institution. However, there is no consensus on the classification of these cash flows for other entities. Interest paid and interest and dividends received may be classified as operating cash flows because they enter into the determination of profit or loss. Alternatively, interest paid and interest and dividends received may be classified as financing cash flows and investing cash flows respectively, because they are costs of obtaining financial resources or returns on investments.*
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> *34. Dividends paid may be classified as a financing cash flow because they are a cost of obtaining financial resources. Alternatively, dividends paid may be classified as a component of cash flows from operating activities in order to assist users to determine the ability of an entity to pay dividends out of operating cash flows. [Emphasis added.]*

By allowing a choice of operating or financing for the placement of interest and dividends received or paid, IAS 7 gives a company's managers the opportunities to select the presentation that gives the best-looking picture of operating performance. An example is Norse Energy Corp. ASA, a Norwegian gas explorer and producer, which changed its classifications of interest paid and interest received in 2007 (**Gordon, Henry, Jorgensen, and Linthicum, 2017**). Interest paid was switched to financing instead of decreasing cash generated from operations. Norse Energy also switched its classification of interest received to investing from operating cash flow. The net effect of these changes was to report positive, rather than negative, operating cash flows in both 2007 and 2008. With these simple changes, the company could also change the perception of its operations. The cash flow statement formerly presented the appearance of a company with operations that used more cash than it generated, and it possibly raised questions about the sustainability of operations. After the revision, the operating section of the cash flow statement depicted a much more viable operation.

Exhibit 25 shows the net effect of the reclassifications on Norse Energy's cash flows.

Exhibit 25: Reclassification of Cash Flows (amounts in USD millions)

	As Reported (following 2007 reclassification)		Adjustments (without reclassification*)		Pro forma (without reclassification)	
	2008	2007	2008	2007	2008	2007
Operating	**USD5.30**	**USD2.80**	**(USD13.70)**	**(USD14.40)**	**(USD8.40)**	**(USD11.6**
Investing	USD0.90	(USD56.80)	(USD9.00)	(USD3.50)	(USD8.10)	(USD60.3

Financing	(USD16.60)	USD34.50	USD22.70	USD17.90	USD6.10	USD52.4
Total	(USD10.40)	(USD19.50)	USD0	USD0	(USD10.40)	(USD19.5

* The adjustments reverse the addition of interest received to investing and instead add it to operating. The adjustments also reverse the deduction of interest paid from financing and instead subtract it from operating.

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